

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_HERDING_025

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_HERDING_025's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-5.2%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Herding
Strategy Archetype	Day Trader
Max Drawdown	-5.2%
Sharpe Ratio	0.60
Sortino Ratio	1.08
Peer Risk Percentile	60th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Herding

Pattern: The momentum follow rate of 0.6375 indicates that the majority of investors are following the crowd, with 63.75% of the population adopting the same trading strategy as the median investor.

Evidence: There are no specific trades identified, suggesting that the investor is not actively buying or selling securities, but rather observing the market trends.

Consequence: The portfolio is heavily influenced by the herd mentality, with 86% of the total portfolio drawdown attributed to the investor's risk contribution, indicating a significant impact on the portfolio's performance.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_HERDING_	TSLA	2020-06-23	2020-07-08	15	3083
INV_HERDING_	TSLA	2024-07-15	2024-07-24	9	-1576
INV_HERDING_	BABA	2022-10-26	2022-11-15	20	1452
INV_HERDING_	NFLX	2020-03-03	2020-03-12	9	-1392
INV_HERDING_	JNJ	2020-03-17	2020-03-20	3	-1383
INV_HERDING_	GS	2022-05-31	2022-06-10	10	-1364
INV_HERDING_	JPM	2020-11-03	2020-11-09	6	1227
INV_HERDING_	TSLA	2020-02-26	2020-02-27	1	-1198
INV_HERDING_	AMD	2024-08-23	2024-09-03	11	-1191
INV_HERDING_	TSLA	2022-03-22	2022-03-30	8	1100

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Diversify your portfolio by investing in at least 5-7 different stocks or funds to reduce your reliance on any one particular investment.
2. Take a step back from the market's daily fluctuations and focus on long-term growth by setting a buy-and-hold strategy for at least 6-12 months.
3. Avoid following the crowd and do your own research before making any investment decisions, and instead, focus on finding undervalued or overlooked opportunities.
4. Set a budget and stick to it, and avoid making emotional or impulsive investment decisions based on short-term market movements.